

Grab Holdings: Proposed US\$600M Acquisition of foodpanda Taiwan

MGT566 Corporate Finance Appraisal
& Capital Budgeting Analysis

Prepared for:	Grab Board of Directors & Prof Ding Ding
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Module:	Finance for Business Decisions

Executive Verdict: Proceed Conditionally

The proposed acquisition is highly value-accretive, yielding a +US\$484.75M NPV, provided stringent regulatory signalling and integration milestones are met.



Financial Accretion

Robust financial returns driven by a US\$623M initial investment yielding an 18.14% IRR and US\$1.74B in Terminal Value.



Strategic Entry

Immediate, mature market entry bypassing ground-up build costs. Unlocks cross-selling synergies across GrabAds, GrabMart, and financial services.



Key Conditions

Subject to proactive management of FTC antitrust reviews (clarifying Uber's 13% stake) and compliance with the July 2026 Taiwan Labour Act.

The Strategic Proposition: Market Entry vs. Horizontal Consolidation

The Failure Case

Uber Eats (2024 Blocked Bid)

Horizontal Merger



~90% combined market share.

Blocked by Taiwan Fair Trade Commission (FTC) due to severe market concentration and antitrust concerns.

The Grab Case

Grab Holdings (2026 Proposed Bid)

New Market Entry



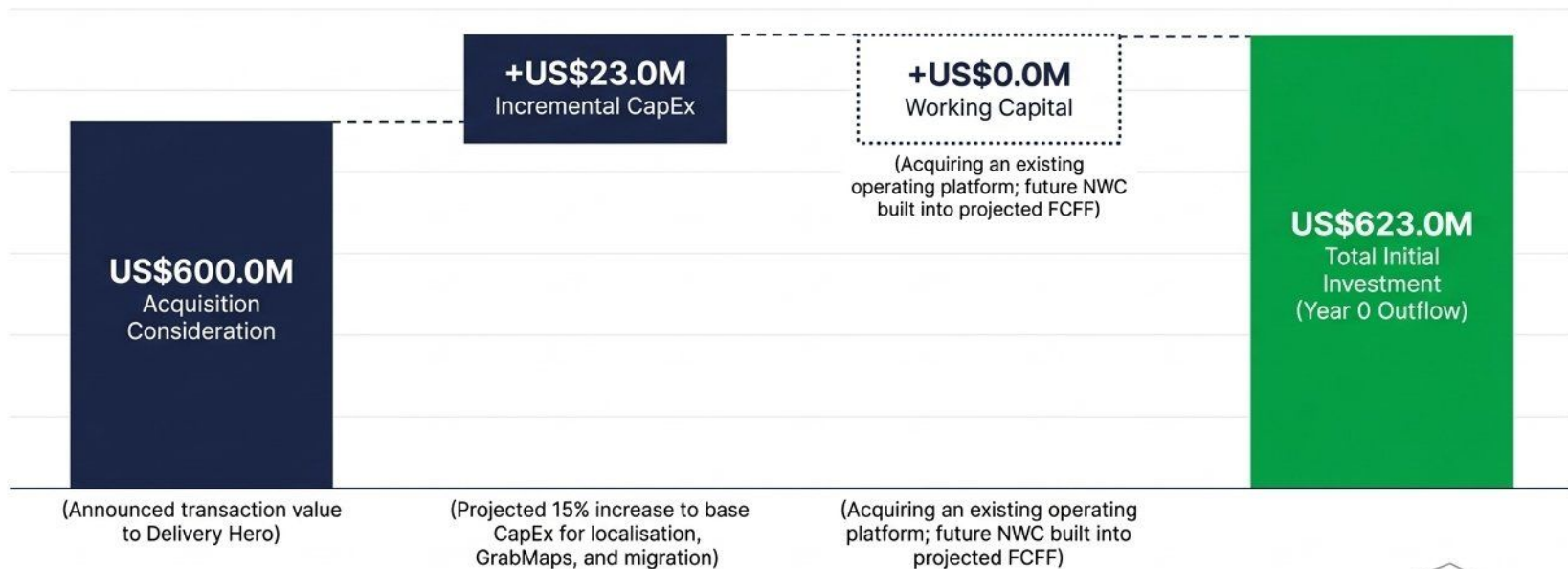
High viability. Grab is acquiring an existing footprint (merchants, riders, consumers) rather than eliminating a direct competitor.



Strategic Insight: The target segment operates on thin margins (Deliveries adjusted EBITDA at 2.3%). True value unlocks via ecosystem synergies—cross-selling GrabAds and Grab financial services to the acquired merchant base.

Year 0: Constructing the Initial Investment

Total cash commitment structured on a cash-free, debt-free basis.



Financing Note: Financed entirely via Grab's existing unrestricted cash reserves (US\$6.6B), eliminating incremental project-specific debt.

Establishing the Required Rate of Return

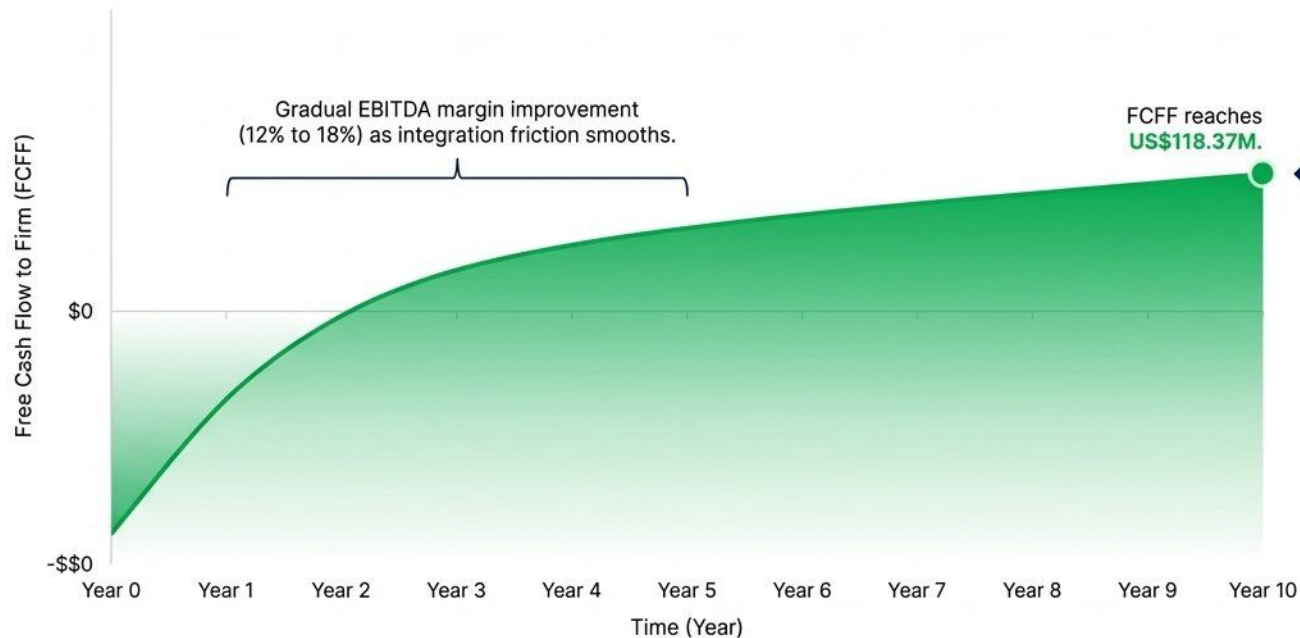
Adopting a 10% Assumed Project Discount Rate to capture specific operational and execution risks.



Methodology Insight: Without a precise, publicly available project-specific WACC, 10% serves as a rigorous, risk-adjusted hurdle rate for cash flow discounting.

10-Year Free Cash Flow & Terminal Value Projections

Modelling a 15% GMV growth and 3% perpetual growth.



Terminal Value

Methodology: Gordon Growth Model (3% Long-term sustainable growth).

Raw Terminal Value: US\$1.74 Billion.

Discounted Present Value (PV): US\$671.6 Million.



Key Insight: Grab is buying an ongoing platform, not a depreciating asset. The US\$671.6M PV of Terminal Value is the primary engine of the project's financial viability.

The Capital Budgeting Dashboard

Financial metrics based on the 10-year FCFF and 10% required return.

Net Present Value (NPV)

ACCEPT

+US\$484.75M



Rule: NPV > 0. Highly value-accretive over the initial US\$623M outlay.

Internal Rate of Return (IRR)

ACCEPT

18.14%



Rule: IRR > 10% (Discount Rate). Generates an 8.14% buffer above the required hurdle rate.

Profitability Index (PI)

ACCEPT

1.78



Rule: PI > 1.0. Every US\$1 invested generates US\$1.78 in present value inflows.

Payback Period

CAUTION

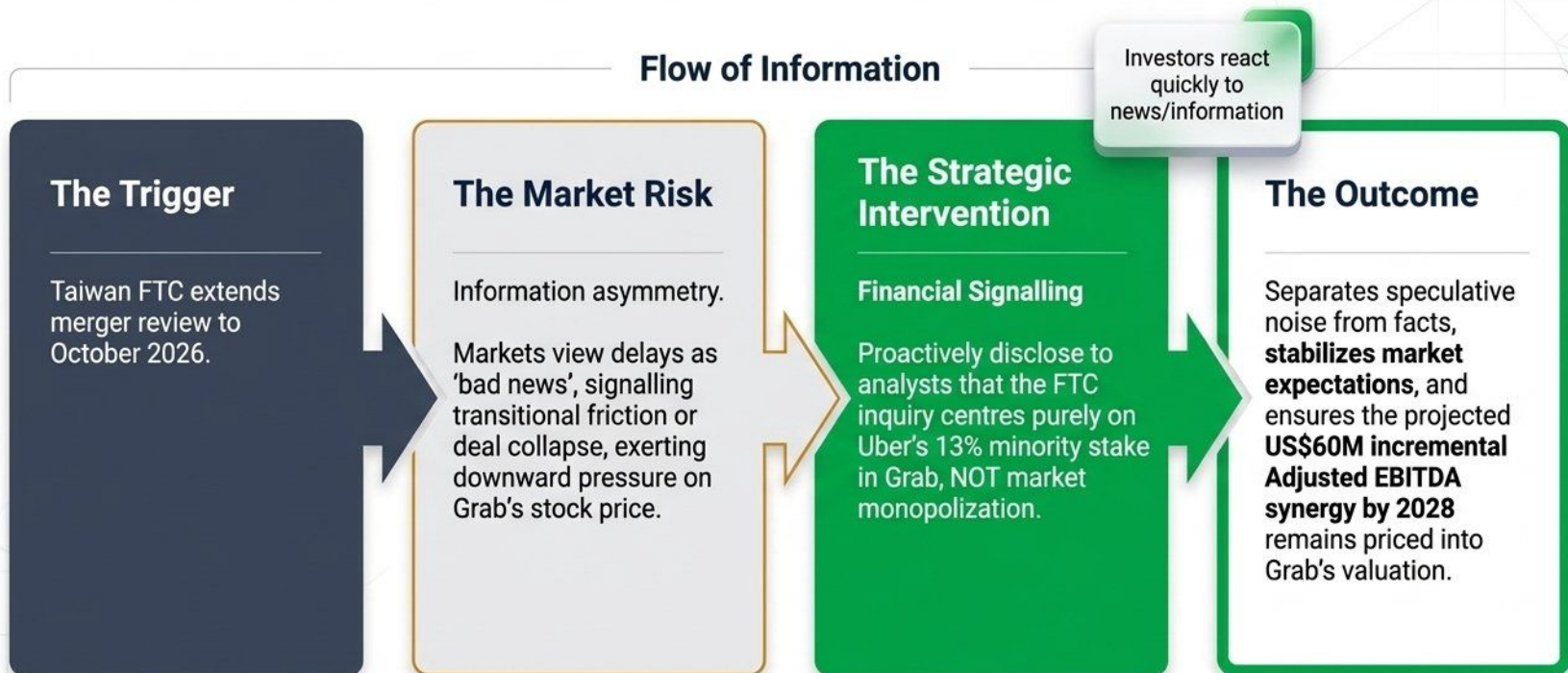
8.61 Years



Rule: Shorter is preferred. A lengthy payback exposes Grab to long-term forecasting risks, though mitigated by high Terminal Value.

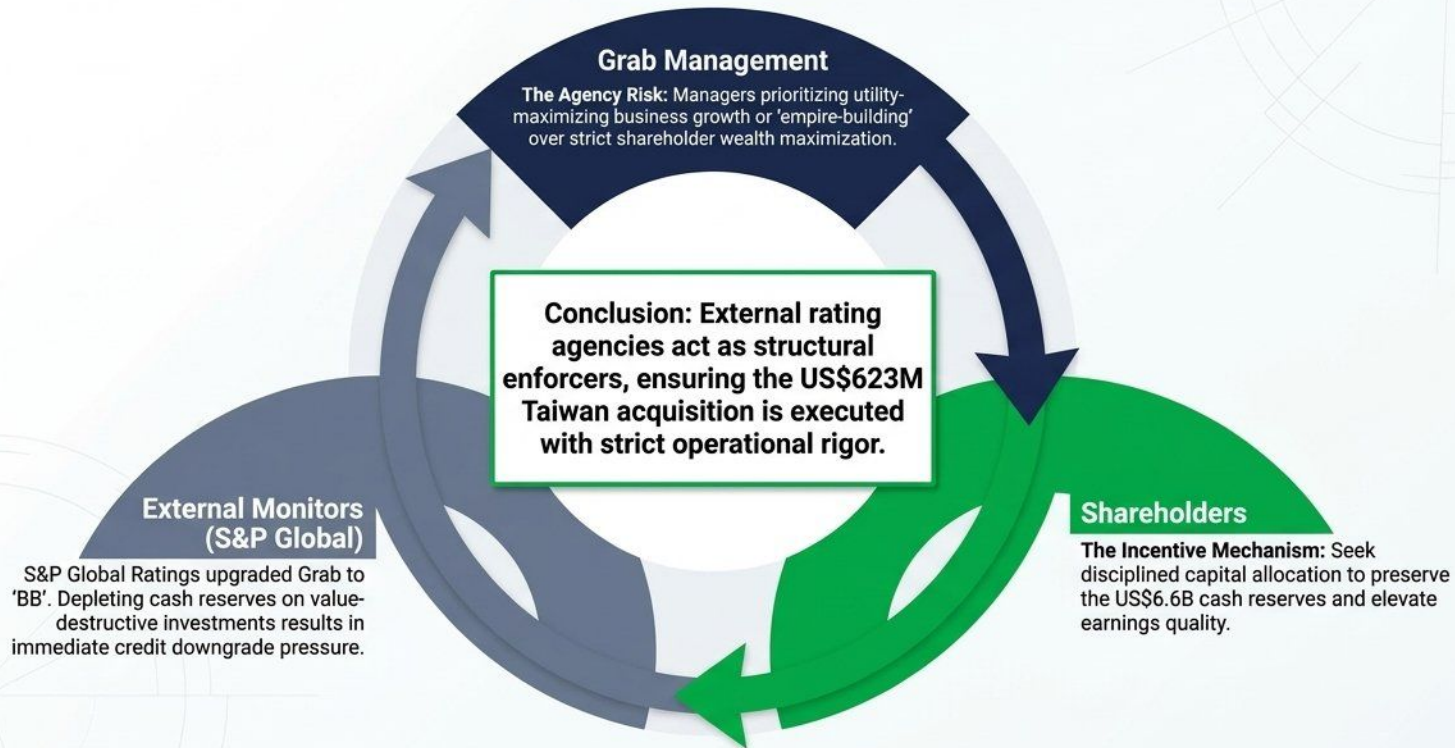
Managing the Market Narrative (Principle 4)

Market prices reflect information — mitigating deal completion risk.



Agency Costs & Governance Discipline (Principle 5)

Individuals respond to incentives — aligning management with shareholder wealth creation.



ESG & Regulatory Compliance

Navigating the July 2026 Taiwan Labour Act for Delivery Platforms.



The Mandate

July 2026 introduces stringent new rules regarding delivery partner partner safety, suspensions, and dispute resolution for all platform operators in Taiwan.

Mandate 1: Transparent Dispute Resolution



Grab Solution: Localising Grab's existing Southeast Asian in-app support and merchant-partner dispute frameworks to Taiwan.

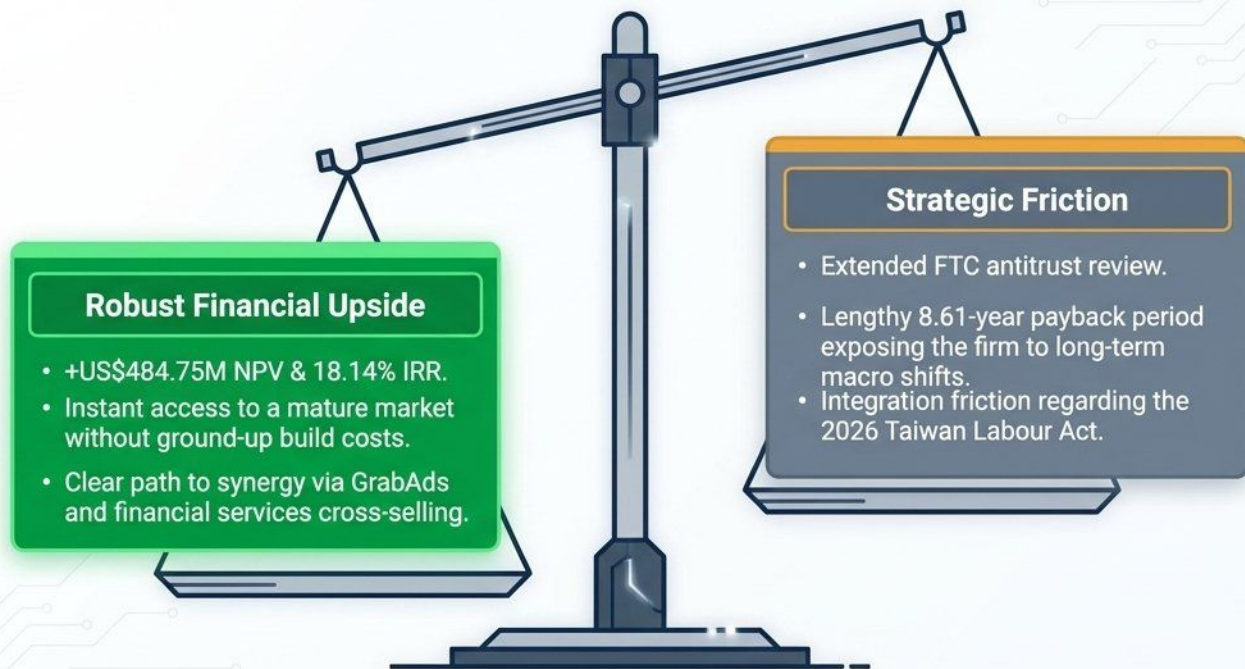
Mandate 2: Rider Safety Standards



Grab Solution: Deploying Grab's AI-driven safety features and GrabMaps routing optimizations to reduce accident rates.

Strategic Takeaway: Because Grab already operates a highly regulated platform across Southeast Asia, it possesses the native technology to meet Taiwan's ESG mandates efficiently, minimizing compliance friction.

Synthesis: The Risk-Reward Equation



The Unifying Insight: The extraordinary financial buffer (IRR 8.14% above the 10% hurdle rate) provides an ample margin of safety to absorb the expected regulatory and operational integration costs.

Final Recommendation: Proceed with Investment

The US\$600M acquisition of foodpanda Taiwan represents a structurally sound, value-accretive deployment of capital.

Execution Caveats:

- Execute upon successful clearance of the Taiwan FTC review.
- Maintain proactive financial signalling to protect equity valuation.
- Enforce disciplined platform integration to achieve the US\$60M incremental Adjusted EBITDA benchmark by 2028.

Value creation verified: $PI = 1.78$. Strategy aligned with shareholder wealth maximization.